

Chat to your bank about add-ons to your mortgage; these include offset accounts and redraw facilities.

Mortgage offset account

This is a transaction account that is connected to your home loan, and that is a tool for reducing the amount of interest you have to pay – ‘offset’ meaning ‘deducting’ in this case.

When you have a full offset account, its balance is compared to what you owe on your loan, and you only pay interest on the difference. For example, if you have \$20,000 in an offset account and a home loan of \$400,000, you will pay interest on \$380,000 of that loan.

A partial offset account provides a lower interest rate on the portion of your home loan that is equal to how much you have in that offset account. For example, if you have \$50,000 in a partial offset account and a home loan of \$500,000, then the repayments on \$50,000 of your home loan will be calculated at a reduced rate.

Redraw facilities

These allow you to get your hands on the extra money, over and above your minimum repayments, that you have put towards your mortgage. For example, if your mortgage repayments are \$3000 a month, but instead – due to a pay increase or promotion at work, or simply by being a supreme tightwad – you have been paying \$3500 a month for 12 months, you can access the additional \$6000 you’ve paid off. The main advantage of redraw facilities is that the compound interest rate on your home loan is likely to be higher than on other cash savings accounts, so it pays off the loan in the long term while providing a contingency plan for future debts. There are also tax advantages, as interest saved on your home loan with a redraw facility is not subject to tax. Note that you may need to pay a fee to access your money.